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No. 94-1140

Supreme Court, U.S.
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In The
Supreme Court of the United States
October Term, 1995

44 LIQUORMART, INC. and PEOPLES
SUPER LIQUOR STORES, INC.,

Petitioners,

v.

STATE OF RHODE ISLAND, and RHODE ISLAND
LIQUOR STORES ASSOCIATION,

Respondents.

On Writ Of Certiorari To
The United States Court Of Appeals
For The First Circuit

BRIEF FOR RESPONDENTS

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STATEMENT OF THE CASE

A. The Statutory and State Appellate Background

Pursuant to the Twenty-first Amendment's grant of power, the State of Rhode Island (hereinafter "the State") has adopted a statutory scheme for the regulation of alcoholic beverages. R.I. Gen. Laws § 3-1-1 through § 3-14-15, inclusive. The purpose of this statutory scheme is the "promotion of temperance and for the reasonable control of the traffic in alcoholic beverages." R.I. Gen. Laws § 3-1-5. An integral part of that scheme includes a prohibition on the advertising of the *price* of alcoholic beverages by the Rhode Island media, and by the license holders themselves. R.I. Gen. Laws §§ 3-8-7 and 3-8-8.1.

In *S & S Liquormart, Inc. v. Pastore*, 497 A.2d 729 (R.I. 1985), the Rhode Island Supreme Court upheld § 3-8-7 (prohibition against advertising directed to manufacturers, wholesalers, shippers and license holders) against a constitutional assault based upon the First Amendment. Plaintiff in that case claimed § 3-8-7 violated the First Amendment, Commerce Clause, and Equal Protection guarantees and the Sherman Anti-Trust Act. The Rhode Island Supreme Court stated that:

under its general police power, [the State] has a substantial interest in the health and welfare of its citizens, including the stability of its families and their safety while on Rhode Island highways, all of which are clearly affected by the abuse of alcohol.

Added to this already substantial interest is the power of [Rhode Island] under the Twenty-first Amendment to regulate the sale, and the incidence thereof, of alcoholic beverages, and to

protect its citizens from the evils incident to alcohol.

Id. at 732 (footnotes and citations omitted).

The Rhode Island court held that a state statute regulating the sale of alcoholic beverages is entitled to an added presumption in favor of its validity because of the Twenty-first Amendment. *Id.* at 732. After an analysis of relevant case law, the Court upheld the statute as constitutional on all four grounds.

A companion case, *Rhode Island Liquor Stores Association v. The Evening Call Publishing Company*, 497 A.2d 331 (R.I. 1985), involved an attack on the constitutionality of § 3-8-8.1. (prohibition against advertising directed to media and advertising agencies). A liquor retailing trade group brought the action against a newspaper to obtain injunctive relief against the newspaper's publication of out of state liquor advertisements containing price information in violation of the state statutes. The statute was assailed on First Amendment and Commerce Clause grounds. The Rhode Island court noted explicitly that it did not find it "unreasonable for the State of Rhode Island to believe that price advertising will result in increased sales of alcoholic beverages generally." *Id.* at 336. The court noted that the State did not have to demonstrate with expert or other testimony that increased sales of alcoholic beverages correlate highly with the dissemination of liquor price information. *Id.* at 337.

B. Facts and Procedural History of the Present Case

On December 17, 1991, Petitioner 44 Liquor Mart, Inc. (hereinafter "44 Liquor Mart") was found to be in violation of R.I. Gen. Laws §§ 3-8-7 and 3-8-8.1 and Regulation 32¹ of the Rhode Island Liquor Control Administration, which also prohibits price advertising. 44 Liquor Mart was fined for that violation, paid the fine, but did not take advantage of the appeal process provided by state statute.² See generally Rhode Island's Administrative Procedures Act, R.I. Gen. Laws § 42-35-1 *et seq.* Subsequently, on February 28, 1992, Petitioners filed a constitutional attack on the price advertising ban in the Federal District Court for the District of Rhode Island. *44 Liquor Mart, Inc. v. Racine*, C.A. No. 92-0115-P. Petitioners' claims were based on the First Amendment of the United States Constitution; the Equal Protection, Due Process and Commerce Clauses of the United States Constitution; the Sherman Anti-Trust Act, 15 U.S.C. §§ 1-7 and 42 U.S.C. § 1983, the Civil Rights Act. In their Complaint, Petitioners alleged that the advertising ban caused them to suffer "economic harm in the form of lost business opportunity" and that they had "incurred monetary damages . . .".

¹ Regulation 32 prohibits any "reference to price" of any alcoholic beverages or mixture of alcoholic beverages (Appendix to Petitioner's Brief at 2).

² Petitioner People's Super Liquor is not a Rhode Island license holder. No administrative action has ever been taken against it.

(Joint Appendix 32-36³). Before trial, Petitioners abandoned all but their First Amendment claims. (Appendix to Petition for Writ of Certiorari at 19)⁴.

Prior to trial, the parties stipulated (among other things) that Petitioners would *each* realize an economic benefit of more than \$100,000 *per year* if the price advertising ban were lifted, that the proposed speech does not concern an illegal activity and presumably would not be false or misleading, and that the State of Rhode Island has a substantial interest in regulating the sale of alcoholic beverages. (J.A. 46-48), 44 *Liquor Mart Inc. v. Racine*, 829 F. Supp. 543, 545 (D.R.I. 1993) (App. 21, 22).

At trial, the agreed statement of facts and the videotaped depositions of three experts with supporting exhibits were introduced in full and reviewed by the District Court. Briefly, the evidence showed the following: the State's expert, Dr. Henry Saffer, an economist, applied generally accepted economic principles to find that the advertising ban did in fact have a direct effect on consumption. Dr. Saffer testified that the ban affected consumption in two ways; by increasing the "search time" involved in purchasing the product, and by increasing the real price of the product. (J.A. 69-71). Since no one disputed that price does affect consumption, the link was forged.

³ References to the Joint Appendix are hereinafter designated as "J.A.".

⁴ References to the Appendix to Petition for Writ of Certiorari are hereinafter designated as "App.".

Dr. Saffer also testified that, based on proven economic theories, if the advertising ban were lifted, the result would be lower prices and increased consumption. (J.A. 73). He explained that "if the ban on price advertising were removed then the average price would go down, and the reason the average price goes down is people can more easily find lower prices." (J.A. 71).

The testimony of Dr. Reginald Smart offered on behalf of the Petitioners dovetails with that of Dr. Saffer, as follows: There are some research experts who believe that alcohol advertising leads to increased overall consumption. There are two camps in this area – those who claim that advertising affects only brand shares, i.e., the liquor and advertising industries versus governmental entities and others who feel that advertising does indeed increase consumption. Those falling into the latter category include the American Medical Association, and John Kenneth Galbraith, the noted economist and scholar. There are at least *twelve* differing conclusions regarding the impact of advertising on the consumption of alcoholic beverages. Dr. Smart testified that price is a potent influence of the level of alcohol consumption. As real prices go up, consumption goes down. Inversely, as prices go down, consumption increases. Dr. Smart admitted that lowering prices of alcoholic beverages will probably make people drink a little more. Dr. Smart also testified that advertising bans may affect certain specific segments of the population, such as heavier drinkers and those most exposed to television. He acknowledged that those who watch television more tend to drink more. (J.A. 78, 81) (Transcript of March 11, 1993, p.46).

Another of Petitioners' experts, Dr. David J. Pittman, bolstered the State's position when he admitted that he was aware of *no empirical evidence* which would refute the State's conclusion that banning alcohol price advertising promotes temperance. (J.A. 83). Dr. Pittman's own report indicates that price advertising leads to lower costs for the consumer, and admits that if the price advertising ban in Rhode Island were to be repealed, that lower prices would be a direct result. (J.A. 84). Dr. Pittman is aware of and acknowledges that there are studies indicating that advertising plays a slight role in consumption. (J.A. 85).

On August 10, 1993, the District Court issued an opinion finding for the Petitioners. *44 Liquor Mart Inc. v. Racine*, 829 F.Supp. at 555. In striking down the advertising ban, that Court held that in a commercial speech analysis, the Twenty-first Amendment has no application. *44 Liquor Mart Inc. v. Racine*, 829 F.Supp. at 553 (App. 42). The District Court applied the four-part test developed in *Central Hudson Gas & Electric Corporation v. Public Service Commission of New York*, 447 U.S. 557 (1980):

At the outset, we must determine whether the expression is protected by the First Amendment. For commercial speech to come within that provision, it at least must concern lawful activity and not be misleading. Next, we ask whether the asserted governmental interest is substantial. If both inquiries yield positive answers, we must determine whether the regulation directly advances the governmental interest asserted, and whether it is not more extensive than is necessary to serve that interest.

Id. at 566. (App. 35).

In its opinion, the District Court noted the "pronounced lack of unanimity among researchers who have studied the effects of alcohol advertising," and noted that the Petitioners' experts had testified that "there is no empirical evidence that the presence or absence of alcohol price advertising significantly affects levels of alcohol consumption." 44 *Liquor Mart v. Racine*, 829 F.Supp. at 546 (App. 22, 23). In placing the burden upon the State to justify the restriction on advertising, the Court held that " . . . the Twenty-first Amendment does not require a modification of either the level or allocation of the burden of proof in commercial speech cases involving the regulation of the sale of alcoholic beverages". 44 *Liquor Mart v. Racine*, 829 F.Supp. at 553 (App. 42).

The decision was appealed, and initially the First Circuit affirmed the District Court's ruling as it applied to foreign retailers, but reversed as to retailers located within the State of Rhode Island. (J.A. 16). After rehearing, the panel on July 8, 1994 ordered the first opinion withdrawn and issued a second opinion that differed only slightly from the first. (J.A. 17). After yet another rehearing, the First Circuit issued a third opinion reversing the decision of the U.S. District Court in its entirety. 44 *Liquormart, Inc. v. State of Rhode Island*, 39 F.3d 5 (1st Cir. 1994) (App. 1).

The First Circuit, in applying the four part *Central Hudson* test noted that the first two prongs were not at issue. 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 6, 7 (App. 5). From there, the Circuit Court launched into a discussion of whether the advertising ban directly advances the state's asserted interest. The First Circuit placed the burden of proof directly on the party seeking suppression,

the State. 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 7 (App. 5). The First Circuit found that the burden as articulated by the District Court was too strict – that perfection should not be the requirement, but only reasonableness. 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 7 (App. 5). The First Circuit noted that the term “directly advances” is not an absolute, and discussed the fact that even plaintiff’s expert offered some support for the State’s argument. 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 7 (App. 6). The Court also applied a reasonableness standard to the “not more extensive than necessary” prong of the *Central Hudson* test. 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 7 (App. 6).

In discussing whether the challenged regulation was “not more extensive than necessary”, the First Circuit held that there was “inherent merit in the State’s contention that competitive price advertising would lower prices, and that with lower prices there would be more sales.” 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 7 (App. 7). Finally, the Circuit Court accepted the common sense theory that “[a]dvertising must be generally productive, or so much money would not be spent on it.” 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 8 (App. 7). The First Circuit Court of Appeals then stated that the Twenty-first Amendment *should* be considered in a commercial speech case involving regulation of alcoholic beverages. 44 *Liquormart, Inc. v. State of RI*, 39 F.3d at 5 (App. 8). On October 24, 1994, judgment entered for the Respondents. (J.A. 26). Petitioners then applied to this Court, and on May 1, 1995, certiorari was granted.



SUMMARY OF ARGUMENT

Rhode Island may, consistent with the First Amendment, prohibit truthful, non-misleading price advertising regarding alcoholic beverages, if it is shown that the regulation directly advances the governmental interest asserted, and if it is not more extensive than is necessary to serve that interest. The record clearly establishes that the price advertising ban has a direct effect on the State's asserted interest of promoting temperance and that there is a "reasonable fit" between the promotion of temperance and the ban.⁵

⁵ The determination of this issue will impact on a variety of restrictions on alcoholic beverage advertising. See, e.g., Ark. Alco. Bev. Cont. Div. Reg. § 3.17 (1991) reprinted in Liquor Cont. L. Rep. (CCH) [Ark.] ¶4217 at 7247 (1994) (prohibiting advertising of discount sales); Conn. Dep't of Liquor Const. Regs § 30-6-A40 (1976) reprinted in Liquor Cont. L. Rep. (CCH) [Ga.] ¶4158 at 13,244 (prohibiting price advertising by "off-premise" licensees except within the establishment); Kan. Stat. Ann. ¶41-714(2) (1991) reprinted in Liquor Cont. L. Rep. (CCH) [Minn.] ¶4038(2) at 25,222 (banning price advertising except in windows and premises of licensed establishments); Mo. Div. of Liquor Cont. Regs. § 11 CSR 7 - 2.240(18) (1986) reprinted in Liquor Cont. L. Rep. (CCH) [Mo.] ¶4142G(18) at 27,232 (prohibiting manufacturers and wholesalers from price advertising); N.H. Rev. Stat. Ann. § 179:51 (1992) reprinted in Liquor Cont. L. Rep. (CCH) [N.H.] ¶7251 at 31,429-30 (prohibiting listing of retail prices by a wholesaler on behalf of a distributor); N.C. Admin. Code tit. 4, r. 2R1008(c)(2) (1984) reprinted in Liquor Cont. L. Rep. (CCH) [N.C.] ¶4448(c)(2) at 35,254 (prohibiting "on-premise" licensees from advertising the brand name of any alcohol beverage); Ohio Rev. Code Ann. § 4301.211 (Anderson 1989) reprinted in Liquor Cont. L. Rep. (CCH) [Ohio] ¶7172A at 37, 419 (prohibiting price advertising for malt beverages except within the licensed establishment); Section 4-4-498(a) of the

The testimony and evidence outlined above clearly supports the State's argument that the price advertising ban directly and materially promotes temperance. Testimony from both sides indicated that the price of alcoholic beverages in the State of Rhode Island would go down if the price ban were lifted. (J.A. 70-71, 73-74, 84). Further, the restriction could be no more narrowly tailored. As discussed *infra*, perfection is not the requirement, only reasonableness. Further, recent decisions of this Court lead to the conclusion that as long as a sufficient record has been established and the restrictions are not confusing or irrational, they will be upheld. *Rubin v. Coors*, 115 S.Ct. 1585 (1995); *Florida Bar v. Went-For-It, Inc. and John T. Blakely*, No. 94-226, June 21, 1995.

Finally, the State believes and argues herein that both the intent behind the Twenty-first Amendment, its application and decisions of this Court mandate that it be considered in weighing the interests of the parties herein.



Pennsylvania Liquor Code, Pa. Stat. Ann. tit. 47, § 4-498(a) (1969 and Supp. 1994) (prohibition on price advertising) S.C. Alco. Bev. Cont. Comm'n § 7-34 (1991) reprinted in Liquor Cont. L. Rep. (CCH) [S.C.] ¶4034 at 42,212 (prohibiting retailers from price advertising). This list is by no means exhaustive. Nearly every state restricts alcoholic beverages in one form or another.

ARGUMENT

A. A Decision Upholding Rhode Island's Alcohol Advertising Ban Would Be Consistent With Recent Decisions of This Court.

The case of *Rubin v. Coors*, 115 S.Ct. 1585 (1995), must be distinguished at this point. In that case, a section of the Federal Alcohol Administration Act (hereinafter "FAAA") which prohibited beer labels from displaying alcohol content was held to violate the First Amendment's limited protection of commercial speech.⁶ This Court held that the labeling ban failed the *Central Hudson* four part test since it was not shown that it advanced the government's interest in a direct and material way. At the outset, the State of Rhode Island proffers that *Rubin* can be distinguished from the instant matter in four important respects: (1) *Rubin* involved federal regulation and did not implicate powers reserved to the states under the Twenty-first Amendment; (2) the State of Rhode Island does not have a confusing statutory scheme as was involved in *Rubin*; (3) the information in the case *sub judice* is not about a quality of the product itself; and (4)

⁶ It is interesting to note that initially, not only was the labeling ban of the FAAA attacked as unconstitutional, but also the ban on advertising the strength of alcoholic beverages. That advertising restriction was upheld by the District Court and was not appealed. *See, Adolph Coors Company v. Bentsen*, 2 F.3d 355, 357 (10th Cir. 1993) and *Rubin, supra*. Apparently, the tenth circuit was satisfied that the continuing threat of strength wars justified a prohibition on statements of alcohol content in advertising, but regarded labeling as different because it believed statements of alcohol content on labels would be used by consumers primarily to *limit* their intake of alcohol.

there is abundant record evidence to support Rhode Island's advertising ban.

Rubin involved a First Amendment attack on § 205(e)(2) of the FAAA which prohibited the selling, shipping or delivering in interstate or foreign commerce any malt beverages, distilled spirits, or wines in bottles

unless such products are bottled, packaged and labeled in conformity with such regulations, to be prescribed by the Secretary of the Treasury, with respect to packaging, marking, branding, and labeling and size and fill of container . . . as will provide the consumer with adequate information as to the identity and quality of the products, the alcoholic content thereof (except that statements of, or statements likely to be considered as statements of, alcoholic content of malt beverages are prohibited unless required by State law and except that, in case of wines, statements of alcoholic content shall be required only for wines containing more than 14 per centum of alcohol by volume), the net contents of the package and the manufacturer or bottler or importer of the product.

27 U.S.C § 205(e)(2). At the outset, it must be noted that the FAAA provisions mandated both disclosure *and* censorship, creating a confusing and irrational framework. In addition, also involved were certain implementing regulations promulgated by the Bureau of Alcohol, Tobacco & Firearms (hereinafter "BATF") under delegation of authority from the Secretary of the Treasury which prohibited the disclosure of alcohol content on beer labels. 27 CFR § 7.26(a) (1994). Supplementing the prohibition on numerical indications of alcohol content, the BATF

adopted labeling regulations proscribing descriptive terms suggesting high alcohol content. The BATF regulations did not prohibit labels from identifying beer as having reduced or no alcohol. Thus, another confusing discrepancy was created by the regulations. Further, by statute and by regulation, the labeling ban involved in *Rubin* was required to give way if a state law required disclosure of alcohol content. In contrast to the "overall irrationality" of the FAAA's labeling ban/requirement, *Rubin*, 115 S.Ct. at 1592, the Rhode Island ban is clear, precise and applicable in all instances in the same manner. Neither the media, nor a wholesaler, retailer or licensee may advertise the price of an alcoholic beverage or refer *in any way* to price. R.I. Gen. Laws § 3-8-7, 3-8-8.1, Regulation 32.

In *Rubin*, the government's asserted interest was the prevention of "strength wars". This Court agreed that the government had a significant interest in protecting the health, safety, and welfare of its citizens by preventing brewers from competing on the basis of alcohol strength, which could lead to greater alcoholism and its attendant social costs. 115 S.Ct. at 1591. "[W]e have no reason to think that strength wars, if they were to occur, would not produce the type of social harm that the government hopes to prevent". 115 S.Ct. at 1591.

The government attempted to bolster its position by using the power of the Twenty-first Amendment to bootstrap the strength war argument onto an asserted governmental interest of preserving state authority and state power pursuant to the Twenty-first Amendment. The federal government obviously knew that it did not have the benefit of the Twenty-first Amendment and attempted to

take advantage of its powers in this roundabout manner. In rejecting this argument, this Court held that the government had offered nothing that suggests the states are in need of federal assistance. "States clearly possess ample authority to ban the disclosure of alcohol content-subject, of course, to the same First Amendment restrictions that apply to the federal government." 115 S.Ct. at 1591. This Court impliedly affirmed the State's power under the Twenty-first Amendment when it stated "One State's decision to permit brewers to disclose alcohol content on beer labels will not preclude neighboring states from effectively banning such disclosure of that information within their borders".⁷ *Id.*

Another problem the respondents had in *Rubin* was the fact that the information sought to be disclosed on the label was information concerning the product itself, i.e., the alcohol content of the beverage. *Id.* at 1589. In this case, the information banned from distribution by Rhode Island's statutory scheme is not information concerning the product itself, rather, it concerns only the price at which such commodity is offered for sale. This is a critical distinction and, standing alone, would be enough of a distinction from *Rubin* to dilute its applicability in the present case. Further, the justification in *Rubin* i.e., that strength wars would have the frightening results predicted, was undermined by the fact that during the passage of time between the enactment of the FAAA and the present, technology has made distillers better able to

⁷ This holding would appear to foreclose Petitioner's argument that Rhode Island may not ban ads from Massachusetts retailers. (Petitioner's Brief 24-26).

place a more accurate description of the alcohol content on their labels. When the FAAA was passed, false, misleading and deceptive alcohol percentages abounded, because of the inability of the industry to accurately gauge the amount of alcohol in a given beverage. Today, modern scientific technology makes it possible for distillers to place more accurate information on the label. This distinction is lacking in the present case.

In *Florida Bar v. Went-For-It, Inc. and John T. Blakely*, No. 94-226, June 21, 1995, this Court upheld against a First Amendment challenge certain advertising restrictions upon attorneys in the State of Florida, noting that First Amendment protection of commercial speech is of recent vintage and is not absolute.

We have always been careful to distinguish commercial speech from speech at the First Amendment's core. '[C]ommercial speech [enjoys] a limited measure of protection, commensurate with its subordinate position in the scale of First Amendment values' and is subject to 'modes of regulation that might be impermissible in the realm of noncommercial expression'.

Id., quoting *Board of Trustees of State University of New York v. Fox*, 492 U.S. 469, 477 (1989), quoting *Ohralik v. Ohio State Bar Association*, 436 U.S. 447, 456 (1978). In applying the four part *Central Hudson* test, this Court found that protecting the image of the bar and the justice system generally, was a substantial governmental interest and that a restriction on direct solicitation of accident victims and their families for 30 days following an accident advanced that interest in a direct and material way and was not more restrictive than necessary. The Florida case

had an extensive record to support the solicitation ban. The Florida Bar submitted a 106 page summary of a two year study of lawyer advertising and solicitation to the Federal District Court. This Court noted that the record as presented by the Bar was noteworthy for its breadth and detail. *Florida Bar*, No. 94-226, *slip op.* at 9. In discussing how extensive a record must be to support a First Amendment restriction, this Court stated:

In any event, we do not read our case law to require that empirical data come to us accompanied by a surfeit of background information. Indeed, in other First Amendment contexts, we have permitted litigants to justify speech restrictions by reference to studies and anecdotes pertaining to different locales altogether, or even, in a case applying strict scrutiny, to justify restrictions based solely on history, consensus and 'simple common sense'. Nothing in *Edenfield*, *supra*, a case in which the State offered no evidence or anecdotes in support of its restriction, requires more.

(Citations omitted). *Id.*, *slip op.* at 10.

Moving on to the fourth prong of *Central Hudson*, this Court discarded the notion that the "least restrictive means" test is applicable in a commercial speech context. This Court reiterated instead that the test as set forth in *Fox*, 492 U.S. at 480, is a "fit" between the legislature's ends and the means chosen to accomplish those ends. In upholding the Florida Bar's restriction, this Court found that it was "reasonably well tailored to its stated objective. . . ." *Id.*, *slip op.* at 15. This Court noted that there were other means that Floridians could utilize to obtain an attorney within 30 days of an accident. Likewise, in

the State of Rhode Island, a potential purchaser of alcoholic beverages might decide to purchase before they enter a store and there obtain their price information. Rhode Islander consumers are likewise free to conduct their own comparison shopping by telephoning retail outlets for price information.

The State of Rhode Island submits that the following commentary is equally applicable to the case at bar:

This case, however, concerns pure commercial advertising, for which we have always reserved a lesser degree of protection under the First Amendment. Particularly because [the object of regulation has] traditionally been subject to extensive regulation by the States, it is all the more appropriate that we limit our scrutiny of state regulations to a level commensurate with the 'subordinate position' of commercial speech in the scale of First Amendment values.

Florida Bar, slip op. at 17, quoting *Fox*, 492 U.S. at 477, quoting *Ohralik*, 436 U.S. at 456. Because price advertising is the most commercial and least informative speech concerning a product, price advertising should be afforded the least amount of protection in the entire spectrum of First Amendment values. Since the protection available for a particular commercial expression turns on the nature of both of the expression and of the governmental interest served by its regulation, *Bolger v. Youngs Drug Products Corp.*, 463 U.S. 60 (1983), therefore, a decision upholding Rhode Island's advertising ban is a logical extension of *Rubin* and *Florida Bar*.

B. With or Without the Twenty-first Amendment, the State Proved That The Price Advertising Ban Directly and Materially Advanced Its Asserted Interest and That It Was No More Extensive Than Necessary.

Speech proposing a commercial transaction is entitled to lesser protection than other constitutionally guaranteed expression. *Ohralik*, 436 U.S. at 455-456. This lesser degree of protection is appropriate for expression related solely to the economic interests of the speaker and its audience. *Central Hudson*, 447 U.S. at 561. The commercial aspect of a message may provide a justification for regulation that is not present when the communication has no commercial character. *Ohralik*, 366 U.S. at 455-456. This is because commercial speech, unlike other varieties of speech, occurs in an area traditionally subject to governmental regulation. *Id.* In *Florida Bar*, this Court articulated an intermediate scrutiny test for commercial speech. "Unlike rational basis review, the *Central Hudson* standard does not permit [this Court] to supplant the precise interests put forward by the State with other suppositions," *Id.* slip op. at 5, citing *Edenfield v. Fain*, 113 S.Ct. 1792 (1993).

A lot has been said about the supposed secret agenda of the State in protecting small retailers from competition. (Petitioner's brief p. 24). The purpose of the price advertising ban and of the entire alcoholic beverage regulatory scheme in Rhode Island is set out in R.I. Gen. Laws § 3-1-5. The stated purpose is "the promotion of temperance and for the reasonable control of the traffic in alcoholic beverages". Petitioners presented no evidence to support their hypothesis. Therefore, the promotion of temperance is the stated purpose, and the only purpose,

which this Court should consider in determining whether the price advertising ban is constitutional.⁸

It is permissible, even necessary, to consider the type of commercial transaction and the commodity involved when determining whether a restraint on commercial speech is valid under the *Central Hudson* test. Commercial speech is "linked inextricably" with the commercial transaction it proposes, so the State's interest in regulating the underlying transaction may give it a concomitant interest in the expression itself. *Edenfield*, 113 S.Ct. at 1798. It is therefore permissible for the State and for this Court to distinguish between transactions involving alcoholic beverages and transactions involving any other commodity. The State is not required to put blinders on when regulating an industry and the State is free to consider the harmful societal effects of a commodity in its regulation.

This is *not* the first time the constitutionality of restrictions on price advertising for alcoholic beverages has come before this Court. In *Queensgate Investment Company v. Liquor Control Comm'n*, 69 Ohio St. 361, 433 N.E. 2d 138 (1982), appeal dismissed, 459 U.S. 807, Ohio's price advertising ban was attacked on First Amendment grounds. In that case, Queensgate Investment Company (hereinafter "Queensgate") was the holder of an Ohio

⁸ Petitioners would have this Court believe that an insidious plot has been developed by the State of Rhode Island to protect small liquor stores from competition by big giant retail outlets. The intervenor obviously did not share Petitioner's belief that the State was protecting their interests. Why else would they have intervened?

liquor permit and was prosecuted for violating regulations of the Ohio Liquor Control Commission which prohibited off-premises price advertising of alcoholic beverages, the exact prohibition found in Rhode Island's challenged laws. After being found in violation of the above regulations, Queensgate appealed to the Ohio Supreme Court, and argued that the price advertising ban violated its First Amendment guarantee of freedom of speech.

In determining that the price ban did *not* violate the First Amendment, the Ohio Supreme Court applied the four part *Central Hudson* test. The *Queensgate* court came to the logical conclusion that the advertising of drink prices and price advantages would encourage and stimulate excessive consumption of alcoholic beverages. It determined that no less extensive a regulation would achieve the same purpose. "Rather, in order to serve the same governmental interest, virtually any other regulation would be more extensive; *e.g.*, increased prices, shorter hours or reduced number of permits, would all place a greater burden on the permit holder." *Queensgate*, 433 N.E.2d at 141-142.

Queensgate then appealed to this Court. The Ohio Liquor Control Commission filed a Motion to Dismiss the appeal for want of substantial federal question. This Court agreed with the Liquor Control Commission, and dismissed the case on that ground.

The First Circuit in the case *sub judice* discussed the effect of *Queensgate*, noting that there was no relevant factual distinction, and held that "with *Queensgate* or without, plaintiff 44 Liquormart must lose". 39 F.3d at 8

(Pet.App. 9). Recognition of the precedential effect of *Queensgate* would mandate affirmance of the First Circuit.

The issue in *Queensgate* and in the present dispute is identical, *i.e.*, whether a ban on advertising the price of alcoholic beverages violates the First Amendment's guarantee of free speech. The Ohio court used the four-part *Central Hudson* test, and when this decision and its reasoning were before this Court on appeal, it was held that no federal question was involved. This decision, while short, is nonetheless a decision on the merits, affirming a finding that no First Amendment rights were implicated by the price advertising ban.

1. Rhode Island's Price Advertising Ban Directly Advances Its Asserted Interest of Promoting Temperance and Controlling The Traffic in Alcoholic Beverages.

Pursuant to *Central Hudson*, the State must demonstrate that the challenged regulation "advances the government's interest 'in a direct and material way' ". *Rubin*, 115 S.Ct. at 1588; quoting *Edenfield*, 113 S.Ct. at 1798. Courts have recognized as a matter of common sense that a restriction on the advertising of a product decreases demand for that product. See *United States v. Edge Broadcasting*, 113 S.Ct. at 2696, 2707 (1993); *Posadas de Puerto Rico Associates v. Tourism Company of Puerto Rico*, 478 U.S. 328, 342 (1986); *Central Hudson*, 447 U.S. at 569; *Cal-Almond, Inc. v. U.S. Dept. of Agriculture*, 14 F.2d 429 (9th Cir. 1993).

In *Edge Broadcasting*, this Court cautioned that the question of whether the regulation directly advances the

governmental interest asserted cannot be answered by limiting the inquiry to whether the governmental interest is directly advanced as applied to a single person or entity. Rather, there must be a consideration of the "fit" between the legislature's ends and the means chosen to accomplish those ends. 113 S.Ct. at 2705. In *Edge Broadcasting*, this Court found that the interest was served as applied to *all* radio and television stations, even though if, as applied only to *Edge*, there was only marginal advancement of that interest. *Id.* Since in this case it is undisputed that – even as to Petitioners – the effect of the ban is substantial (upwards of \$100,000 *per store per year*) (J.A. 47), the total effect when all licensed liquor retailers are considered is staggering.

In both *Edenfield* and *Rubin*, advertising restrictions were struck down in large part because there was not an adequate factual record presented to support the advertising ban. *Edenfield*, 113 S.Ct. at 1800; *Rubin*, 115 S.Ct. at 1591. The State submits that, in this case, the record below supports the Rhode Island's advertising ban. The direct effect that Rhode Island's ban has on the promotion of temperance is as follows – the advertising ban increases the cost of alcoholic beverages and therefore decreases their consumption in two ways: (1) increasing "search time" to obtain the best price of alcoholic beverages;⁹ and (2) without competition, the real price of the beverage will remain higher than without advertising.

⁹ The gravamen of the testimony and evidence presented on the issue of "search time" was that a consumer's time spent searching for the best deal is worth something. This cost should be included in determining the cost of the item to the consumer.

Therefore the State submits not one, but two ways that the advertising ban directly and materially affects the price of alcoholic beverages and therefore promotes temperance.

At this juncture, it must be noted that the area of alcohol consumption and the effect of advertising thereon is a difficult topic to research. This point was conceded by all experts below. This is in large part due to the fact that the cumulative effects of advertising are difficult to assess. (Testimony of Dr. Smart J.A. 79, 80). Further, no state may determine with absolute certainty the amount of alcohol its citizens consume within their homes, in restaurants, bars and nightclubs. The level of consumption may only be gauged by the amount of alcohol purchased. Simply because the topic is a difficult one to research should not, however, mean that alcoholic beverages may not be regulated.

In support of its case, the State offered the testimony of Dr. Henry Saffer, an economist. Dr. Saffer testified that economists look at the price of alcoholic beverages as having two parts. One, the search time; and two, the actual money price. Price information allows a consumer to find lower product prices more easily, thus lowering the average price for alcohol. He also set forth a third direct effect advertising has on the price of alcohol in that there would be a greater variance when price advertising is not allowed than when it is allowed. This gives the consumer an incentive to look around, thus increasing the search time and creating a more knowledgeable group of consumers. (J.A. 69, 70). Dr. Saffer testified that if the ban were abolished, the result would be lower prices and increased consumption. This opinion was based upon the

fact that if the ban on price advertising were removed, then the average price would go down and people could more easily find lower prices. (J.A. 71).

Dr. Reginald Smart, a registered psychologist and scientist, testified on behalf of the Petitioners. Dr. Smart admitted that although he believed alcohol advertising and consumption were not linked, that there were some research experts who believed – based upon studies – that alcohol advertising led to overall increased consumption. (J.A. 76). He acknowledged that there were generally two camps on the issue of the effect of alcohol advertising upon consumption – those in the advertising and alcohol beverage industry who refuse to see a link and those in consumer groups, government and some research experts who believe that there is a connection (J.A. 76).¹⁰ Dr. Smart was the author of an article that was discussed during his testimony. His article acknowledged no less than twelve differing opinions on the effect of advertising on the sale and consumption of alcoholic beverages (J.A. 81). One of those positions is that of the Board of Trustees of the American Medical Association, which takes the position that alcohol advertising does appear to influence excessive, hazardous and problem drinking. (J.A. 77). Also in his article, Dr. Smart discusses the opinion of the noted economist, John Kenneth Galbraith, who in 1958, wrote that advertising affects *both*

¹⁰ This division is present in this case. Amici in support of the Petitioners represent three distinct groups: advertisers, the media and the liquor industry, who share one common denominator – financial gain through the advertising of alcoholic beverages. The State of Rhode Island stands to realize no economic gain from this case.

brand preference *and* the aggregate level of consumption. (J.A. 78). Dr. Smart himself has noted that a lot of the marketing of alcoholic beverages is aimed at specific segments of the market, such as youth, women and blacks. (J.A. 78). He also notes that leaders in the alcohol industry take the position that "without growth we cannot survive". (J.A. 78). He also, from his own research, acknowledges that although beverage manufacturers claim that they wish only to increase their share of the market, total profits will increase if the market expands and the shares remain the same. (J.A. 79).

Of most importance to the case is Dr. Smart's testimony that price is a potent influence on the level of alcohol consumption. (J.A. 79, 80, 81). He agrees with Dr. Saffer, the State's expert, that the cost of a commodity should include the search cost in obtaining that good. (J.A. 79). He also agrees that advertising has cumulative effects that are difficult to detect because the influence of one advertisement is likely to be insignificant, but that the impact of thousands or hundreds of thousands of advertisements over the course of years and over the course of someone's life is difficult to assess. (J.A. 79, 80). Dr. Smart finds the statement that "a ban on price advertising raises the mean and variance of price by increasing search costs and this results in lower consumption" to be a reasonable expectation. (J.A. 80).

In discussing the phenomenon known as "happy hour", where a restaurant or bar serves reduced price drinks for a short period, Dr. Smart acknowledges that there is a "negative relationship" between alcohol consumption and price. He defined that term as follows: as prices go up, alcohol consumption comes down and,

inversely, as prices go down, consumption increases. (J.A. 81). Dr. Smart also acknowledged that consumers will travel to purchase alcohol if they think they will save some money. (J.A. 81).

Petitioner's other expert, Dr. David J. Pittman, a Professor of Psychology, also bolstered the State's argument that price advertising has a direct effect on consumption. He stated that he was aware of *no empirical evidence* that would refute the conclusion that banning alcohol price advertising promotes temperance. (J.A. 83). He testified that price advertising leads to lower costs for the consumer for the product being advertised. (J.A. 84).¹¹ It was his opinion that if Rhode Island alcohol price advertising ban were to be repealed, lower alcohol price would be a *direct effect*. (J.A. 84). Therefore, Petitioner's own experts have made the State's case by testifying that the advertising ban has a *direct effect* on the price of alcoholic beverages. They also provided testimony that price is an important determinant in consumption.

At trial, the State submitted research results which concluded that price advertising does have a direct result on alcohol consumption. Stanley I. Ornstein and Dominique M. Hanssens, *Alcohol Control Laws and the Consumption of Distilled Spirits and Beer*, 12 J. Consumer Res. 200 (Sept. 1985). (J.A. 94-121). Ornstein and Hanssens found

¹¹ This Court has recognized the connection between advertising and price: "... where consumers have the benefit of price advertising, retail prices often are dramatically lower than they would be without price advertising. *Bates v. State Bar of Arizona*, 433 U.S. 350, 377 (1977) (citations omitted).

that the absence of price advertising will increase consumer search costs, raising the mean and variance of prices and *reducing consumption*. Conversely, in states where price advertising is allowed, price should be lower and consumption greater. This indicates a positive relationship between price advertising and per capita consumption. (J.A. 108-109). This finding that price advertising leads to lower price and higher consumption (J.A. 114) was deemed to be reasonable *even by Petitioners' experts*. (J.A. 80, 84). In discussing the many regulatory options available, Ornstein and Hanssens found that

Price intervention through tax increases, resale price maintenance, or bans on price advertising will have a much larger effect on spirits consumption than on beer consumption. The history of state excise taxes shows that they are rarely changed, except at times of budgetary crises. Resale price maintenance in alcohol has been on the decline for years and is fast disappearing in light of recent legal rulings. (Citing *California Retail Liquor Dealers Assn. v. MidCal Aluminum Inc., et al.*, 445 U.S. 97 (1980)). But advertising bans are increasingly being called for. Ten states proposed legislation to ban advertising in 1983, and a variety of public interest groups called on the Federal Trade Commission to restrict the advertising of alcoholic beverages. **A ban on price advertising raises the mean and variance of price by increasing search costs, and this results in lower consumption** (Ornstein and Hanssens 1984).

(J.A. 120). (Emphasis supplied).

While the Petitioners would have this Court believe that "expenditures on alcoholic beverage advertising

have been steadily increasing, while consumption has been steadily decreasing . . . " (Petitioners' Brief, p. 19), a recent study has found quite the opposite – that since the mid-1980's, alcohol advertising has decreased, accompanied by dramatic reductions in alcohol consumption and alcohol-related problems. George A. Hacker and Laura Anne Stuart, *DOUBLE DIP, The Simultaneous Decline of Alcohol Advertising and Alcohol Problems in the United States*, Center for Science in the Public Interest (June 1995).

Among the findings of Hacker and Stuart are that cutbacks in alcohol advertising expenses between 1986 and 1993 have been matched by substantial reductions in alcohol-related vehicle crash deaths. *Id.* at 13. These improvements have accompanied steady decreases in the rate of binge and daily drinking among high school seniors. *Id.* at 13. While the authors acknowledge that many factors play a part in the decline in alcohol-related problems, they state: "It is impossible to know the extent to which reductions in alcohol advertising helped lower drinking rates and foster health and safety benefits. However, the reduction of highly visible, repetitive, seductive appeals to drink is almost certainly part of the equation." *Id.* at 14.

Therefore, it is clear the District Court had before it substantial evidence – some of it from the Petitioner's own experts that the price advertising ban increases the price of alcoholic beverages, thus resulting in decreased consumption. The link has been forged and the record below amply demonstrates that the price advertising ban directly and materially affects the State's asserted interest, i.e., the promotion of temperance.

2. Rhode Island's Price Advertising Ban Is No More Extensive Than Necessary.

Petitioners would have this Court find that the statutes at issue go further than necessary to accomplish the stated purpose.¹² This Court has ruled that a prohibition of commercial speech requires a " 'fit' between the legislature's ends and the means chosen to accomplish those ends – a fit that is not necessarily perfect, but reasonable; that represents not necessarily the single best disposition, but one whose scope is 'in proportion to the interests served' ". *Fox*, 492 U.S. at 480. The *Central Hudson* test is not so rigid as Petitioners would lead this Court to believe, rather, it is "flexible". *Fox*, 492 U.S. at 477. The interest to be served by the statutes under attack is the promotion of temperance and the reasonable control of the traffic in alcoholic beverages. R.I. Gen. Laws § 3-1-5. Prohibiting disclosure of the price of an alcoholic beverage or price advantage is certainly a reasonable and narrowly tailored means to that end. The restriction does not prohibit all alcoholic beverage advertising. Rather, only one tidbit of information is prohibited – price. Price advertising is allowed inside the licensed premises, to assist those who have *already decided* to purchase. The mere fact that Petitioners believe that there are other alternatives is not determinative.

In applying the standard enunciated in *Fox, supra*, to the case at bar, it is undeniable that Rhode Island's ban on price advertising is not more extensive than necessary.

¹² This, despite the observation of this Court that almost all restrictions disallowed under *Central Hudson's* fourth prong have been "substantially excessive." *Fox*, 492 U.S. at 479.

This Court in *Fox* refused to adopt a "least restrictive means" test. 492 U.S. at 476. Since, in a commercial speech case, modes of regulation that might be impermissible in the realm of noncommercial expression are allowed, the least restrictive means requirement cannot be justified. *Fox*, 492 U.S. at 477. Even in core political speech cases, this Court has declined to impose a least restrictive means test, instead upholding restrictions on such speech so long as the restrictions are narrowly tailored to serve a significant governmental interest. *Fox*, 492 U.S. at 477, 478. This standard for commercial speech does not require elimination of all less restrictive alternatives, as argued by Petitioners. *Id.* This Court has never required a showing that there is no conceivable alternative, but only that the regulation not burden substantially more speech than is necessary to further the government's legitimate interests. This Court is "loath to secondguess" the legislature's judgment to that effect. *Id.* It is up to the legislature to decide as long as its judgment is reasonable. *Id.* at 479.

In sum, while we have insisted that 'the free flow of commercial information is valuable enough to justify imposing on would-be regulators the costs of distinguishing . . . the harmless from the harmful,' we have not gone so far as to impose upon them the burden of demonstrating that the distinguishment is 100% complete, or that the manner of restriction is absolutely the least severe that will achieve the desired end. What our decisions require is a "'fit" between the legislature's ends and the means chosen to accomplish those ends,' – a fit that is not necessarily perfect, but reasonable; that represents not necessarily the single best disposition but

one whose scope is 'in proportion to the interest served,' that employs not necessarily the least restrictive means but, as we have put it in the other contexts discussed above, a means narrowly tailored to achieve the desired objective. Within those bounds we leave it to governmental decisionmakers to judge what manner of regulation may best be employed. (citations omitted).

Fox, 492 U.S. at 480.

In *Ward v. Rock Against Racism*, 491 U.S. 781 (1989), this Court upheld a time, place, and manner restriction that required a city to control the sound level of musical concerts in a city park – a regulation of *fully protected speech*. In rejecting the least restrictive means argument, this Court stated

The Court of Appeals erred in sifting through all the available or imagined alternative means of regulating sound volume in order to determine whether the city's solution was "the least intrusive means" of achieving the desired end. This "less-restrictive-alternative analysis . . . has never been a part of the inquiry into the validity of a time, place, and manner regulation." * * * Instead, our cases quite clearly hold that restrictions on the time, place, or manner of protected speech are not invalid "simply because there is some imaginable alternative that might be less burdensome on speech."

491 U.S. at 797 (citations omitted).

This Court and other courts have repeatedly upheld reasonable restrictions on the advertising of activities that society deems harmful but has chosen for various reasons

to tolerate. See *Edge Broadcasting* (1993) (lotteries); *Posadas* (casino gambling); *Queensgate Investment Co.* (liquor price advertising); *Capital Broadcasting Co. v. Mitchell*, 333 F.Supp. 582 (D.D.C. 1971) (broadcast cigarette advertising); *Dunagin v. City of Oxford*, 718 F.2d 738 (5th Cir. 1983) (liquor advertising); *Oklahoma Telecasters* (prohibition of all alcohol advertising except for one storefront sign); *S & S Liquor Mart Inc.* (alcohol price advertising); *Rhode Island Liquor Stores Ass'n* (alcohol price advertising); *Princess Sea Indus., Inc. v. State of Nevada*, 635 P.2d 281 (Nev. 1981) (brothel advertising). These decisions indicate that legislatures are entitled to especially broad latitude in regulating speech that promotes activities that the legislatures reasonably determine give rise to especially great social harms.

Greater deference to legislative judgment with regard to socially harmful activities is justified by the rationale underlying this Court's commercial speech doctrine. As a general matter, commercial speech enjoys only "a limited measure of protection, commensurate with its subordinate position in the scale of First Amendment values." *Fox*, 492 U.S. at 477 (quoting *Ohralik*, 436 U.S. at 456); see *Edge Broadcasting*, 113 S. Ct. at 2703; *Central Hudson*, 447 U.S. at 563. That is because commercial speech "is 'linked inextricably' with the commercial arrangement that it proposes," *Edenfield*, 113 S. Ct. at 1798 (quoting *Friedman v. Rogers*, 440 U.S. 1, 10 n.9 (1979)), and commercial activity is "an area traditionally subject to government regulation," *Edge Broadcasting*, 113 S.Ct. at 2703 (quoting *Ohralik*, 436 U.S. at 456). The government's greater interest in, and authority over, regulation of commercial activity gives it greater interest in, and authority over, regulation of "the expression itself", than it has with

respect to other forms of expression. *Edenfield*, 113 S. Ct. at 1798.

In *Edge Broadcasting*, this Court noted that the activity which was being touted by the advertising (gambling) did not involve any constitutionally protected right. Rather, it was a "vice" which could be banned altogether. 113 S.Ct. at 2703. In deferring to the legislature, this Court found that although the government could have protected its interests in other ways, the regulation was not more extensive than necessary. 113 S.Ct. at 2704-2705. "Within the bounds of the general protection provided by the Constitution to commercial speech, we allow room for legislative judgments." 113 S.Ct. at 2707. This Court does not require that a State "make progress on every front before it can make progress on any front". *Id.* The analogy was made between advertising for gambling and advertising for cigarettes, this Court noting that Congress has altogether banned the broadcast advertising of cigarettes, even though it could hardly have believed that this regulation would keep the public wholly ignorant of the availability of cigarettes. *Id.*

In order to determine whether Rhode Island's statutory ban comports with *Central Hudson's* fourth prong, we must examine the relationship between the State's interests and the means chosen to serve them. *Fox*, 492 U.S. at 480. This Court has previously held:

with respect to this prong, the differences between commercial speech and noncommercial speech are manifest. In *Fox*, we made clear that the 'least restrictive means' test has no role in the commercial speech contest. 'What our decisions require' instead, 'is a "fit" between the

legislature's ends and the means chosen to accomplish those ends' a fit that is not necessarily perfect, but reasonable; that represents not necessarily the single best disposition but one whose scope is 'in proportion to the interest served,' that employs not necessarily the least restrictive means but '. . . a means narrowly tailored to achieve the desired objective.' Of course, we do not equate this test with the less rigorous obstacles of rational basis review; . . . the existence of 'numerous and obvious less-burdensome alternatives to the restriction on commercial speech . . . is certainly a relevant consideration in determining whether the "fit" between ends and means is reasonable.'

Florida Bar, 115 S.Ct. 2371. In examining the restriction in *Florida Bar*, this Court found that the rule prohibiting solicitation of clients within 30 days of an accident was reasonably well tailored to its stated objective. This Court noted that there were many other ways for injured Floridians to learn about the availability of legal representation during those 30 days.

Likewise, here, consumers who are so inclined may go to their favorite liquor store and peruse the shelves to determine which brand of the alcoholic beverage of their choice they wish to buy, based upon brand preference and price. As in the *Florida Bar* case, nothing prohibits a Rhode Island consumer from telephoning various retail outlets or talking with their neighbors to determine which store has the best prices. Further, all information other than price is available to consumers via radio, television, newspaper, magazines, etc. Purchasers may learn from advertisements the location of a liquor store, its size, the brands sold, its inventory, any other items

they may sell, simply not price of alcoholic beverages. It is hard to imagine how the ban could be less restrictive.

Finally, in determining that the *Florida Bar* restriction was no more extensive than necessary, this Court recognized that the direct solicitation restriction and the attack thereon concerned pure commercial advertising for which a lesser degree of protection under the First Amendment has always been reserved. Particularly because the standards and conduct of state licensed lawyers had traditionally been subject to extensive regulation by the State of Florida, this Court felt that it was all the more appropriate that the level of scrutiny be commensurate with the subordinate position of commercial speech in the scale of First Amendment values. *Florida Bar*, slip op. at 17, citing *Fox*, 492 U.S. at 477, quoting *Ohralik*, *supra*, 436 U.S. at 456. Comparing the restriction in this case to that upheld in the *Florida Bar*, it is clear that the State of Rhode Island is entitled to and does regulate the alcoholic beverage industry extensively, just as the Florida Bar regulated the legal profession. Therefore, since in both cases the commercial speech restriction concerned an area traditionally subjected to intense state regulation, a restriction on advertising should be deemed allowable.

This Court's decision in *Posadas de Puerto Rico*, clearly states that the power to totally prohibit includes the power to regulate to a lesser degree.

It would * * * surely be a strange constitutional doctrine which would concede to the legislature the authority to totally ban a product or activity, but deny to the legislature the authority to forbid the stimulation of demand for the product or activity through advertising on behalf of

those who would profit from such increased demand. Legislative regulation of products or activities deemed harmful, such as cigarettes, alcoholic beverages, and prostitution, has varied from outright prohibition on the one hand * * * to legalization of the product or activity with restrictions on stimulation of its demand on the other hand * * *. To rule out the latter, intermediate kind of response would require more than we find in the First Amendment.

Posadas, 478 U.S. at 347-348 (citations omitted).

Petitioners would have this Court believe that all alternative forms of liquor control must be exhausted before the advertising restrictions could be utilized. This is simply contrary to all teachings of this Court, and the lower federal courts. As the First Circuit noted "[t]he State is entitled to a reasonable choice. This includes choice of method – it is not obliged to prove that some other method, e.g., taxation, would be less effective." 44 *Liquor Mart v. State*, 39 F.3d at 7 (J.A. 6). The restriction cannot be challenged on the ground that price wars could be combatted just as effectively by increasing the State's sales tax. As this Court explained in a similar context, "it is up to the legislature to decide whether or not such a counterspeech policy would be as effective" as the advertising restriction. *Posadas*, 478 U.S. at 344. The fourth part of the *Central Hudson* test does not force the State to choose between differing methods of regulation. Rather, there is room for legislative judgment. See *Dunagin v. City of Oxford, Mississippi*, 718 F.2d 738 (5th Cir. 1983) (en banc), cert. denied, 467 U.S. 1259 (1984); *Fox*, 492 U.S. at

480; *Edge*, 113 S.Ct. at 2707; *Posadas*, 478 U.S. at 344; *Central Hudson*, 447 U.S. at 569.

C. The Twenty-first Amendment Should Be Considered in a Commercial Speech Case Involving the Regulation of Alcoholic Beverages.

Since its passage in 1933, the Twenty-first Amendment has been deemed to confer broad powers on the states in the area of liquor regulation. *California Retail Liquor Dealers Association v. MidCal Aluminum, Inc.*, 445 U.S. 97 (1980). However, as this Court has opined in *South Dakota v. Dole*, 483 U.S. 203 (1987), "its bounds have escaped precise definition". *Id.* at 206. A brief review of the history of the Twenty-first Amendment confirms the State's argument that states retain broad powers in the area of liquor regulation. As originally proposed, the Twenty-first Amendment had four articles. Section 1 repealed the Eighteenth Amendment, Section 2 mirrors that in place in the Amendment today, Section 3 gave Congress concurrent power to regulate or prohibit the sale of intoxicating liquors to be drunk on the premises where sold, and Section 4 provided the mechanism for adoption. 76 Cong. Rec. 4138-4139 (1933). Much of the argument surrounding the adoption of the Twenty-first Amendment concerned the method by which it should be ratified, i.e., by legislatures or by convention. However, when considering whether Sections 2 and 3 should both be included, Congress debated how much power should be retained by the states. During the debates, Senator Wagner from New York eloquently argued that the national government should:

have confidence in your state governments. We have confidence in our state governments to deal with other and much more important subjects. We have confidence in our state governments to administer justice, to provide for the national defense, to provide for the education of their children, to protect their people against crime and criminals. All of these matters are now dealt with effectively and successfully by the state governments; and I say this matter of controlling the habits of people and regulating them is a local affair and in the province of state government, and the only way to deal with it successfully is to leave it to the conscience of the people of each state instead of attempting to set up a uniform standard for all of the people of the United States. Then, in my judgment, we will get laws which are in harmony with the conscience of the people, and which will on that account be supported and enforced.

76 Cong. Rec. 4146 (1933). In continuing this appeal for the removal of Section 3 from the Twenty-first Amendment, Senator Wagner argued:

. . . I am fully satisfied that if we permit our government to function as it was intended to function, through the states, we shall find that the people of each of the 48 states will adopt those methods which will in accordance with local need and conditions, most effectively bring the liquor traffic under control and actually *promote temperance*.

76 Cong. Rec. 4147 (1933) (emphasis added).

This Court has a long history of recognizing the States' role in liquor regulation. This Court has stated

that the Twenty-first Amendment has given broad power to the states and generally they may delegate this power as they see fit. *City of Newport, Kentucky v. Iacobucci*, 479 U.S. 92 (1986). In *Larkin v. Grendels Den, Inc.*, 459 U.S. 116 (1982), a case dealing with the Establishment Clause, this Court stated: "Given the broad powers of the states under the Twenty-first Amendment, judicial deference . . . is especially appropriate in the area of liquor regulation." 459 U.S. 121, 122. Likewise, the Circuits have deferred to the States and recognized their broad power to regulate alcohol pursuant to the Twenty-first Amendment. See, *Actmedia, Inc. v. Stroh*, 830 F.2d 957 (9th Cir. 1986) (upholding "tied-house" statute in the face of a First Amendment challenge); *Dunagin v. City of Oxford, Mississippi*, 718 F.2d 738 (5th Cir. 1983) (holding that if there is any instance where a state can escape First Amendment constraint while prohibiting truthful advertising promoting lawful sales, it would be where the product being sold is intoxicating liquor); *Olitsky v. O'Malley*, 597 F.2d 295 (1st Cir. 1979) (consideration of any State law regulating intoxicating beverages must begin with the Twenty-first Amendment).

In *Dunagin*, the Fifth Circuit had the opportunity to review the constitutionality of Mississippi's near total ban on alcoholic beverage advertising. The challengers to the ban argued that it violated the First Amendment. In disagreeing, the Fifth Circuit articulated what has come to be known as the "vice" argument. The *Dunagin* Court stated "[i]f there is any instance where a state can escape First Amendment constraint while prohibiting truthful advertising promoting lawful sales, it would be where the product being sold is intoxicating liquor". 718 F.2d at 743.

The Fifth Circuit noted that Section 2 of the Twenty-first Amendment:

is unique in the constitutional scheme in that it represents the only express grant of power to the states, thereby creating a fundamental restructuring of the constitutional scheme as it relates to one product-intoxicating liquors. (citation omitted).

718 F.2d at 744.

In delineating the test to be used when considering alcohol advertising restrictions, the Fifth Circuit asserted that any analysis of the validity of a state statute regulating liquor does not proceed via the traditional route for testing the constitutionality of state statutes. The Court determined that it should proceed from a vantage point of "presumed state power and then ask whether there are any limitations to that power, always keeping in mind that where intoxicating liquors are concerned, great deference must be accorded a comprehensive state regulatory scheme". 718 F.2d at 744.

This long line of cases granting the states near absolute power to regulate the liquor industry is based upon society's knowledge of alcohol and its effects. The Eighteenth Amendment was passed in response to problems dealing with alcoholic beverages. When debating whether to repeal that amendment, it was suggested that "liquor has never known how to obey the law". 76 Cong. Rec. 4167 (1933). The position of the Petitioners herein continue the evolution of a consistent attempt by the alcoholic beverage industry to chip away the area of states' rights when dealing with alcoholic beverages.

Before adoption of the Twenty-first Amendment, one Senator argued: "I want to recall how in every conceivable way some of those engaged in the manufacture and sale of intoxicating liquors sought to break down and destroy these principles and to rob the people in their respects to states of their protection." 76 Cong. Rec. 4170 (1933). In questioning the motives of the alcoholic beverage industry and its lobbying groups to return power to the states it was argued that "all the time those who are now asking us to turn back to the states the control of the liquor traffic were seeking to break down the power of the states to control the liquor traffic". 76 Cong. Rec. 4171 (1933). Immediately prior to voting on the exclusion of Section 3, Senator Borah of Idaho made the following statement:

I venture the opinion, and it is my belief, that the Eighteenth Amendment would never have been adopted had it not been for the open, brazen, corrupt, persistent defiance of the laws of the dry states by the liquor interests outside those states. At the time the Eighteenth Amendment was adopted, 33 states had prohibition in some form. The people had declared they wanted to be rid of this evil, or at least to control it in their own way. These states were invaded, their laws broken, their officials corrupted, by the same influences which now plead for states' rights and local control. They did not at that time respect that right at all. They trampled upon it and scoffed at it. Therefore, if we are to have what we are now promised, local self government, state rights, the right of the people of the respective states to adopt and enjoy their own policies, we must have some

other method, some other provisions of the constitution, than those which existed prior to the adoption of the Eighteenth Amendment.

76 Cong. Rec. 4172 (1933).

Therefore, the State urges this Court to carefully consider the wealth of case law and jurisprudence which has afforded the States wide latitude in the area of alcohol regulation and the regulation of alcohol advertising based upon the Twenty-first Amendment. Consistent with the specific language of the Twenty-first Amendment and with the plainly expressed congressional intent, this Court should affirm Rhode Island's right to regulate price advertising of alcoholic beverages, and affirm the decision of the First Circuit.

CONCLUSION

The State of Rhode Island has met the four-part *Central Hudson* test, regardless of whether the Twenty-first Amendment is considered. However, the State urges this Court to reaffirm State's power under the Twenty-first Amendment, and find the following commentary instructive.

Beverage alcohol, America's drug of choice, imposes enormous economic, health and social costs on the nation each year. Excessive drinking results in deaths on the highway; broken homes; abused spouses and children; increased spread of sexually transmitted diseases, including HIV; violent crime and rape; alcohol dependence; and

an elevated risk of heart disease, cancer, hypertension, and liver cirrhosis. Although quantifying the effects of this drug epidemic inadequately accounts for the enormous human suffering related to alcohol problems, the official toll is staggering: 100,000 lives lost each year and \$100 billion in economic damage.

Efforts to reduce the level of problems have included government-sponsored prevention, treatment, and education programs; new laws against drunken driving and their stricter enforcement; the 21-year old minimum legal drinking age; and a wide variety of community interventions and media messages. **Among the initiatives to reduce the demand for alcohol have been nationwide campaigns combating the aggressive advertising of alcoholic beverages.**

Hacker and Stuart, p. 1. (Emphasis in original).

There is a wealth of case law in this country granting states the right to regulate the alcoholic beverage industry. This regulation included restrictions on advertising in almost all 50 states. *See supra*, fn. 5. If the narrowly-tailored, precise and amply justified regulation at issue here cannot survive constitutional scrutiny, it is difficult to conceive of a state advertising regulation that could stand. Indeed, to abolish the State's power under the Twenty-first Amendment as it relates to alcoholic beverage advertising would probably undermine the alcoholic beverage regulations of all of these states. The State of

Rhode Island therefore respectfully requests that the decision of the First Circuit be affirmed.

Respectfully submitted,

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